

Pearson Edexcel Mark Scheme

Predicted Paper — For revision purposes only

Level 3 GCE Economics A (9EC0)

Paper 1: Markets and Business Behaviour — 9EC0/01 — Advanced

Total: 100 marks

General Marking Guidance

- All candidates must receive the same treatment. Mark schemes should be applied positively, rewarding candidates for what they have shown they can do.
- All marks on the mark scheme are designed to be awarded. Examiners should always award full marks if deserved.
- Crossed-out work should be marked UNLESS the candidate has replaced it with an alternative response.
- Accept any equivalent wording and alternative valid approaches not explicitly listed in the indicative content.

Assessment Objectives

AO1 Demonstrate knowledge of terms, concepts, theories and models.

AO2 Apply knowledge and understanding to various economic contexts.

AO3 Analyse issues within economics, using chains of reasoning.

AO4 Evaluate economic arguments and use evidence to support informed judgements.

Marking grids are organised as KAA (AO1+AO2+AO3) and Evaluation (AO4).

Level Descriptors

8-mark "Examine" (KAA = 5, Evaluation = 3)

Level	KAA marks	Descriptor
L1	1–2	Isolated element of knowledge; limited application.
L2	3–4	Sound knowledge applied with some development; at least one chain of reasoning.
L3	5	Accurate detailed knowledge fully applied; developed chains.

10-mark "Assess" (KAA = 6, Evaluation = 4)

Level	KAA marks	Descriptor
L1	1–2	Limited knowledge; weak application.
L2	3–4	Sound theory applied to context.
L3	5–6	Accurate detailed theory, well applied; developed chains.

12-mark "Discuss with diagram" (KAA = 8, Evaluation = 4)

Level	KAA marks	Descriptor
L1	1–2	Limited knowledge; weak or missing diagram.
L2	3–5	Sound knowledge; reasonable diagram; some application.

Level	KAA marks	Descriptor
L3	6–8	Accurate knowledge; correctly labelled diagram; developed chains.

15-mark "Discuss" (KAA = 9, Evaluation = 6)

Level	KAA marks	Descriptor
L1	1–3	Limited knowledge; weak application.
L2	4–6	Sound knowledge with application; some development.
L3	7–9	Accurate detailed knowledge; developed chains; relevant diagrams.

25-mark Essay "Evaluate" (KAA = 15, Evaluation = 10)

Level	KAA marks	Descriptor
L1	1–5	Limited knowledge; basic theory.
L2	6–9	Sound theory applied to context.
L3	10–12	Accurate detailed theory, well applied; relevant diagrams.
L4	13–15	Comprehensive, sophisticated theory; diagrams used analytically.

25-mark Essay evaluation grid (AO4)

Level	Eval marks	Descriptor
L1	1–3	Assertion without support.
L2	4–6	Supported evaluation; some judgement.
L3	7–8	Developed evaluation; reasoned judgement.
L4	9–10	Sophisticated evaluation with prioritised judgement.

Section A — Questions 1 to 5

Question 1 (5 marks) — Premium ride-hailing market

Q	Indicative content	Marks
1(a)	Demand shift: +9 at every price. New Qd column: 37, 43, 49, 55, 61 ('000 trips). Supply shift: raise price at every Qs by £3 → effective Qs at given price falls. New effective Qs at price P equals the original Qs at price (P – 3). New Qs column: 46, 40, — (need to interpolate for prices between), 34, 28... Working: at £24, new Qs equals original Qs at £21 = 46. At £21, new Qs = original Qs at £18 = 40. At £18, new Qs = original Qs at £15 = 34. At £15, new Qs = original Qs at £12 = 28. New equilibrium: compare new Qd and new Qs. At P=£21: Qd=43, Qs=40 (shortage of 3). At P=£24: Qd=37, Qs=46 (surplus of 9). Interpolating, Qd = Qs at P ≈ £21.75, Q ≈ 41,500 trips. Award 1 mark demand shift; 1 mark supply shift; 1 mark interpolation; 1 mark valid P and Q with working. Accept equilibrium price in range £21.50–£22.00 and Q 41,000–42,000.	4
1(b)	Answer: C — rise by approximately 5% (1). Working: with PED = –0.67, a 15% price rise causes a fall in Q of $0.67 \times 15 = 10\%$. Revenue change ≈ %ΔP + %ΔQ = +15% – 10% = +5%. Because demand is inelastic, total revenue rises when price rises.	1

Question 2 (5 marks) — SVOD cross-elasticity

Q	Indicative content	Marks
2(a)	Method: $XED = \% \Delta Q_d(A) / \% \Delta P(B)$, so $\% \Delta Q_d(A) = XED \times \% \Delta P(B)$ (1). $= +0.3 \times 10\% = +3.0\%$. Accept +3% (1). Demand for SVOD rises by approximately 3%.	2
2(b)	A negative XED (–0.6) indicates the two goods are complements (1) — consumed together; when broadband price rises, demand for SVOD falls because broadband is necessary to access streaming services (1). Accept alternative chains referencing derived demand: SVOD demand is derived in part from access to broadband infrastructure.	2
2(c)	Answer: B — fall by 3%. Expected $\% \Delta Q_d(SVOD) = XED \times \% \Delta P(broadband) = -0.6 \times (+5\%) = -3\%$. Distractors: A has the correct magnitude but the wrong sign — negative XED means the two goods move together (both fall when broadband rises); C and D apply the XED coefficient to itself rather than multiplying by the 5% price change.	1

Question 3 (5 marks) — Platform price cap

Q	Indicative content	Marks
3(a)	Diagram: downward-sloping AR and MR; AC and MC curves. Show profit-max	2

Q	Indicative content	Marks
	P_1 at $MR=MC$ with supernormal profit rectangle $(P_1 - AC) \times Q_1$ (1). Insert horizontal price cap at $P_{cap} < P_1$; new effective demand curve is horizontal at P_{cap} up to demand curve. Show new output $Q_2 > Q_1$; smaller profit rectangle $(P_{cap} - AC) \times Q_2$ (1). Accept labelled diagram with clear indication of reduced supernormal profit.	
3(b)(i)	The platform's profit-maximising price falls from P_1 (the unconstrained monopoly price) to P_{cap} , since the cap is binding. Award 1 mark for correctly identifying a fall in price (accept 'decrease', 'lower', or equivalent).	1
3(b)(ii)	Consumer surplus rises. With a lower price and a higher quantity traded at the cap, the area under the demand curve and above price expands. Award 1 mark for correctly identifying a rise in consumer surplus (accept 'increase' or equivalent).	1
3(c)	Answer: B — reduce price, raise output and reduce deadweight loss (1). A cap set below the monopolist's profit-max price but above AC moves the market towards allocative efficiency.	1

Question 4 (5 marks) — Kinked demand and tacit collusion

Q	Indicative content	Marks
4(a)	Diagram: demand curve with a kink at the current price P^*; relatively elastic above P^* (rivals don't follow price rises), relatively inelastic below P^* (rivals match price cuts) (1). Associated MR curve with a vertical discontinuity below the kink (1). Explanation: a price rise is not matched → firm loses large share (elastic segment); a price cut is matched → firm gains little but triggers a price war (inelastic segment) (1). Hence firms avoid changing price and compete on non-price dimensions (advertising, quality, loyalty) (1).	4
4(b)	Answer: B — few firms, high entry barriers, and easily observable prices. These conditions support cartel-like outcomes without explicit agreement.	1

Question 5 (5 marks) — AI Compute Fund Pigouvian subsidy

Q	Indicative content	Marks
5(a)	Answer: B — positive externalities in consumption or production (1). Pigouvian subsidies align private benefit with higher social benefit, moving output toward the social optimum.	1
5(b)	Definition/application: subsidy shifts the supply curve (or private MC) down by the size of the external benefit (1). At the new equilibrium, private output equals the socially optimal output where $MPB + \text{external benefit} = MSC$; welfare loss is eliminated (1). Accept a clearly labelled diagram showing shift of S (or MPC) downwards to coincide with MSC, new $Q^* = Q_{\text{social}}$.	2
5(c)	Subsidy per MW = $\text{£}1,500,000,000 / 3,000 \text{ MW} = \text{£}500,000$ per MW = $\text{£}0.5$	2

Q	Indicative content	Mark s
	million/MW. 1 mark for method (divide fund by capacity); 1 mark for correct numerical answer with unit.	

Section B — Question 6: Digital platforms and advertising

6(a) — Why digital markets tend to 'winner-takes-most' (5 marks)

Indicative content (KAA 4 / Eval 1):

Network effects — value of platform rises with number of users and complementors (Extract A): 91.2% Google share in search and 76.4% YouTube share in online video show clear tipping (Fig 1) (2). Very low marginal costs of serving additional users, combined with large fixed/sunk costs in data centres and R&D, mean average cost falls sharply with scale (economies of scale → natural-monopoly-like tendencies) (2). Proprietary user-behavioural data creates a feedback loop that reinforces dominance (1).

Evaluation (1): tipping is not inevitable — e.g. social/mobile OS duopoly (Apple iOS 52.8% with iOS + Android ≈ 100%) shows markets can also settle on stable oligopoly. Context matters.

6(b) — Consumer-welfare effects of high concentration in digital advertising (12 marks)

Diagram required: cost/revenue diagram for a monopolistically-competitive or dominant-firm advertising platform; show $P > MC$, supernormal profit, deadweight loss area.

KAA (AO1 + AO2 + AO3)	Evaluation (AO4)
- Figure 2: Google (39.7%) + Meta (24.2%) = CR2 of 63.9%; top 3 = 75.3%. Clear duopoly of digital ad spend. - Concentration allows platforms to charge higher advertising prices to merchants. - Passed through to consumers as higher prices for goods advertised on platforms. - Reduced allocative efficiency: $P > MC$ on advertising services. - Consumers pay a zero monetary price for headline services (Extract A) — welfare harm hidden in data extraction, attention costs. - Dynamic-efficiency benefits (large R&D budgets funded by ad revenue) may partially offset static losses.	- Zero-price model makes traditional welfare measurement difficult — consumer harm is non-pecuniary (privacy, attention). - Quality of service may be high under concentration — large platforms can fund innovation. - Advertisers, not end consumers, pay directly — incidence question. - Emergence of TikTok (6.7%) shows market can be partly contestable even when concentrated. - Judgement: net consumer-welfare effect is ambiguous — quality/innovation gains mean concentration ≠ automatic detriment. Regulation should focus on specific conduct (self-preferencing, exclusionary practices) rather than structure alone.

6(c) — Do data-portability obligations reduce barriers to entry? (8 marks)

Indicative content (KAA 5 / Eval 3):

Accept two developed factors, e.g.:

- Portability reduces switching costs — users can move transaction history, preferences, content to a rival (Extract B). Chain: lowers lock-in → incentivises entry → more contestable market (2–3).
- Interoperability enables challenger platforms to access the incumbent's user base without reproducing full scale (2).
- Possible effect on minimum efficient scale — rival can reach MES sooner with portable data (1–2).

Evaluation (3): Critics note network effects and proprietary algorithms (Extract B) remain the dominant source of lock-in, not data; mandated interoperability may reduce incumbents' incentive to invest in security and innovation; empirical evidence mixed (PSD2 Open Banking in UK took 5+

years to reach meaningful adoption). Judgement: portability is a necessary but not sufficient condition for contestability — must be combined with conduct rules and structural remedies.

6(d) — Case for SMS designation under 2024 Act (10 marks)

KAA (AO1 + AO2 + AO3)	Evaluation (AO4)
• Case FOR: dominant platforms have durable market power (e.g. Google 91.2% of search — Fig 1) that persistent market forces do not erode. • Tailored conduct requirements target specific abuses: self-preferencing, tying, access denial. • Fines up to 10% of global turnover provide credible enforcement. • SMS regime is ex-ante (prevention) rather than ex-post (remedial) — avoids lengthy competition cases. • Consumer groups support — promise of lower commission rates, easier switching (Extract C).	• Case AGAINST: risk of regulatory capture; UK regime uniquely prescriptive may discourage investment in UK-facing services (Extract C). • Definition and scope of 'Strategic Market Status' is subjective — legal challenges likely. • Dynamic innovation may be chilled if platforms cannot leverage data or scale. • Competition from new entrants (TikTok 6.7% — Fig 2) may already be disciplining incumbents. • Judgement: designation is justified for entrenched positions with weak competitive pressure (general search); less clear for markets already facing rivalry (e-commerce). Approach should be evidence-based, market-by-market, with proportionate remedies.

6(e) — Adequacy of traditional market-power measures (15 marks)

KAA (AO1 + AO2 + AO3)	Evaluation (AO4)
• Define CRn, HHI: static concentration measures based on market share. • HHI = sum of squared market shares; thresholds: <1000 unconcentrated, 1000–1800 moderately, >1800 highly concentrated. • Applying to Fig 2 digital advertising: $HHI \approx 39.7^2 + 24.2^2 + 11.4^2 + 6.7^2 + 3.7^2 + (\text{distributed}) \approx 2,400$ — highly concentrated. • Strengths: simple, transparent, comparable across markets; trigger for further investigation. • Limitations in digital: static measures miss multi-sidedness, network effects, dynamic entry, zero-price services. • Market definition harder: ad spending vs. search vs. mobile OS — are these separate markets?	• Traditional measures miss the 'competition for the market' nature of tipping markets (Bertrand competition in winner-takes-all episodes). • HHI doesn't capture data moats or switching costs. • Market share of a free service is not the same as pricing power. • Newer approaches: SSNDQ (small significant non-transitory decrease in quality), access to data, attention share. • Complementary qualitative assessments: entry analysis, R&D intensity, complaint volumes. • Judgement: traditional measures remain a useful first screen but are insufficient on their own in digital markets. They need to be supplemented with multi-dimensional assessments capturing dynamic effects, non-price competition, data access and network effects. The 2024 Act's SMS regime reflects this recognition.

Section C — Question 7 OR Question 8 (25 marks)

Question 7 — Does microeconomic theory explain digital markets? (25 marks)

KAA (AO1 + AO2 + AO3)	Evaluation (AO4)
- Traditional theories deployed: perfect competition, monopoly, oligopoly (Cournot, Bertrand, kinked demand), monopolistic competition. - Relevant concepts: scale economies, entry barriers, contestability, price discrimination. - Diagrams: monopoly vs. perfect competition welfare comparison; kinked demand for oligopolistic tacit collusion. - Digital markets exhibit: near-zero MC, strong network effects, two/multi-sided platforms, data as input, algorithmic pricing. - Examples: Google in search, Amazon in e-commerce, Apple App Store, Uber/food-delivery platforms, Netflix/SVOD. - Arguments for adequacy: core concepts still apply (entry barriers, $MC = MR$), rent extraction visible in profit margins.	- Arguments for inadequacy: zero-price models break standard welfare analysis; consumer pays in attention and data, not money. - Multi-sidedness: conventional $MR = MC$ rule must account for externalities across sides of the platform. - Dynamic contestability: 'competition for the market' rather than 'in the market' — Schumpeterian creative destruction. - Network effects and data feedback loops not well captured by static models. - Behavioural economics: consumers systematically irrational — affects demand-curve stability. - Judgement: existing theory explains a significant portion of digital market behaviour but is incomplete. Augmentation with two-sided market theory (Rochet-Tirole), behavioural insights, and attention/data-based welfare frameworks is required. Not a rejection of theory — an extension.

Question 8 — Behavioural exploitation and government intervention (25 marks)

KAA (AO1 + AO2 + AO3)	Evaluation (AO4)
- Concepts: bounded rationality, anchoring, default bias, availability heuristic, loss aversion, present bias. - Examples of firm exploitation: drip pricing (Ryanair, Booking.com), dark patterns (subscription traps), choice overload at checkout, reference-price framing ('was £50, now £29'). - Market-failure framing: asymmetric information + cognitive bias → allocative inefficiency, reduced consumer surplus. - Government intervention options: disclosure rules, default settings (nudges), direct prohibition of dark patterns, enforcement of price transparency.	- Counter: not all consumers are irrational; firms respond to revealed demand and competition; diversity of consumer types. - Behavioural insights still debated — replication crisis in some studies; effect sizes often modest. - Over-intervention risks paternalism, limits choice, raises compliance costs. - Markets already provide some self-correction: review platforms, price-comparison sites, consumer advocacy. - Alternative: lighter-touch nudges (auto-enrol out of dark patterns, default privacy settings) rather than prohibition. - Judgement: evidence strongly supports SOME intervention in markets where dark-pattern exploitation is systematic

KAA (AO1 + AO2 + AO3)	Evaluation (AO4)
	(gambling, subscription services). 'Extensive' intervention goes too far — intervention should be proportionate, targeted, and evidence-based. Rejection of full paternalistic framing; acceptance of selective regulation.

TOTAL FOR PAPER = 100 MARKS